

1.5 The multiplier and the accelerator	Explain: • Factors which determine the size of the national income multiplier Explain, with the aid of a diagram: • The national income multiplier and accelerator • The impact of the national income multiplier and accelerator on aggregate demand and economic cycle • Output gaps; aggregate demand and aggregate supply model and a production possibility curve (PPC) Explain and calculate: • Average and marginal propensities to consume, save and withdraw • Size of the national income multiplier Evaluate: • Causes and consequences of an output gap
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